Financial Model Summary

Ashby Mill Lofts | Version dated March 1, 2025 | All figures in $ thousands unless stated

1. Purpose

1.1 This summary sets out the key assumptions and outputs of the project financial model used for investor reporting.

1.2 Figures are stated in thousands of dollars unless a full dollar amount is given.

1.3 The model will be updated when the cost certification is final.

2. Capital structure and credits

2.1 Qualified rehabilitation expenses: 24,600 ($ in thousands)

2.2 Federal historic tax credit rate: 20%

2.3 Federal historic tax credit: $5,120,000

2.4 Federal equity price per credit dollar: 0.88

2.5 Federal investor equity: 4,505.6 ($ in thousands)

2.6 Virginia credit price per credit dollar: 0.85

2.7 Virginia credit proceeds: 5,227.5 ($ in thousands)

2.8 Virginia historic tax credit rate: 25%

2.9 Construction loan: 18,500 ($ in thousands)

3. Operations

3.1 Average monthly rent per unit is based on the market study, increased by three percent a year.

3.2 Lease-up assumption: 12 units per month from the first unit delivered.

3.3 Stabilized occupancy: 93%. Operating expenses grow at three percent a year.

3.4 Commercial suites are assumed to lease twelve months after completion.

4. Timing of benefits and funding

4.1 Federal credits delivered: 2025 5,120; 2026 to 2029 0 ($ in thousands)

4.2 Installments 1 and 2 of federal equity received as scheduled.

4.3 Installment 3 received June 30, 2026

4.4 Virginia credit proceeds received July 31, 2026

4.5 Construction loan converts to permanent financing after stabilization.

5. Returns

5.1 Investor returns are calculated on the timing of credits and equity shown in section 4.

5.2 Sponsor cash flow is shown after debt service, asset management fees and reserves.

5.3 Sensitivities to rent, occupancy and interest rates are set out in the full model.

6. Limitations

6.1 This summary is not an offer of securities and should be read with the full model.

6.2 Assumptions are estimates and actual results will differ.